

The background is a dark blue digital interface. It features several overlapping line charts with white and light blue lines. On the left, a vertical list of numbers (12.00 to 23.00) is paired with values (2500749.00 to 2500759.00). On the right, a similar list shows values (18775.8 to 18742.51) followed by negative percentages (-4.33 to -4.99). Various percentage changes are scattered throughout, such as -0.07%, 0.03%, -0.02%, 0.05%, and 0.04%. The overall aesthetic is high-tech and data-driven.

Strategy in Digital Markets

What Is Strategy in Digital Markets?

- Strategy = long-term plan to **create, capture, and defend value**
- In digital markets, strategy focuses on:
 - Platforms
 - Data
 - Ecosystems
 - Scale
 -  Not just *beating competitors*, but *shaping the market*

Traditional vs Digital

- Traditional strategy: price, location, production
- Digital strategy: network effects, data control, user lock-in
- Example:
- Taxi company competes on cars
- Pathao competes on **platform + data + network**

From Products to Ecosystems

- Digital firms don't sell just products
- They build **ecosystems** of:
 - Users
 - Partners
 - Developers
 - Advertisers
 -  Value grows as ecosystem grows

- Amazon:
 - Customers
 - Sellers
 - Logistics partners
 - Cloud (AWS)
- Nepal:
 - Pathao: riders, drivers, restaurants, payments
 -  Leaving the ecosystem is costly

Ecosystem Strategy

Ecosystem strategy means:

- Attracting participants
- Keeping them engaged
- Making the platform hard to leave

Key tools:

- APIs
- Incentives
- Data sharing
- Rules & governance

Ecosystem Strategy in Practice

- Facebook:
 - Developers build apps
 - Businesses run ads
 - Users create content
- Nepal:
 - FonePay connects banks, merchants, users
 -  Platform becomes **infrastructure**, not just service

Platform Dominance & Network Effects

- Network effects:
 - More users → more value
- Leads to:
 - Winner-takes-most markets
 - Market concentration
 -  Early growth is strategic weapon

Platform Dominance Examples

- Google Search:
 - More users → better data → better results
- Pathao:
 - More drivers → faster rides → more users
 -  Late competitors struggle

Scalability: Growth Without Proportional Cost

- Digital firms scale faster than traditional firms
- Marginal cost $\approx$ zero
- Examples:
 - Software
 - Platforms
 - Cloud services

Examples

- Traditional shop:
 - More customers → more staff, space
- Digital app:
 - More users → mostly servers
 - Nepal:
- eSewa scales nationwide faster than physical banks

Strategic Control Points

- Digital firms control value through:
- Data ownership
- Algorithms
- Standards
- User relationships
-  Whoever controls the **control point** controls the market

- TikTok controls recommendation algorithm
- Amazon controls product visibility
- Daraz controls seller rankings
-  Strategy = deciding **who gets visibility**

Strategy Trade-offs in Digital Markets

- Firms must balance:
- Growth vs profitability
- Openness vs control
- Speed vs trust
-  No strategy is free

Example

- Heavy discounts → fast growth, low profit
- High commissions → platform profit, partner exit

Case Study: Amazon's Strategy

- Amazon focuses on:
- Customer obsession
- Low prices
- Fast delivery
- Ecosystem expansion

Context about Amazon

- Losses tolerated early
- Data-driven decisions
- Cross-subsidization (AWS funds retail)
-  Strategy over short-term profit

Case Study: Facebook (Meta)

- Facebook's strategy:
- User growth first
- Free services
- Ad-based revenue
- Data-driven targeting

"User base and data can be more valuable than selling products directly"

Case Study: Daraz in Nepal

- Daraz's strategy:
- Heavy discounts
- Logistics investment
- Seller ecosystem
- Regional scale

Risk & Regulation

- Privacy concerns
- Regulation pressure
- Trust erosion
-  Strategy evolves with environment

Local Challenges

- Trust & delivery
- Price sensitivity
- Competition
-  Strategy must fit local context

Strategic Opportunities for Nepali Startups

Possible strategies:

- Niche platforms
- Local problem focus
- Partnerships
- Mobile-first design

Key Takeaways

- Digital strategy is ecosystem-driven
- Data and scale are power
- Pricing enables growth
- Strategy shapes markets, not just competes in them